

7.2 FINANCIAL PROJECTIONS - EXCEL SHEETS

We discussed financial projections in the previous section. You need to be as realistic as possible while making the financial projection. You cannot use random numbers out of thin air. You really have to be thoughtful at this stage. Do not try to oversell; give the investors a true sense of what the numbers should look like in the present scenario. Obviously, going further, the business will evolve. But with the current knowledge point the realistic number that you can. Also, potential investors will ask questions around each assumption that you make. You must have a logical reason for each.

Donottrytooversell

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givetheinvestorsatruesenseof
whathenumbersshouldlooklike.

If you write numbers that are too optimistic and over selling, potential investors may pass as they feel uncomfortable.

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